Such was the case with Tony Robbins, the self-help guru. He has sold millions of books that help many people realize their full potential.[62] I don't know why he ventured into financial advice, but he did. In a video released August 6, 2010, titled "An Important Note of Caution," Robbins, after lots of caveats, said:

> Right now is a time you might want to take some stocks off the table in the stock market. Especially if they are in manufacturing or retail or banking or god forbid homebuilding and housing… I would feel bad if I didn't warn you… One of the biggest bubbles in history is blowing up now.

Bubble? We were at the start of a massive decade-long rally.

The day that video was released, the S&P 500 closed at 1,121.6. It would give up a few dozen points over the rest of August, and then begin an epic tear. By the end of 2010, it would be 12.1% higher. Three years after the video was released, the S&P 500 was 51.3% higher. Five years post-video, the gains were 85.8%. The S&P Homebuilders Index—a sector Robbins recommended avoiding—did even better, gaining 149%. The S&P Retail Index was up 158.2%.

A self-help guru warning of dangers *after* a 57% crash sounds a lot like the recency effect at work. Investors become bullish after they buy stocks, bearish after they sell them; it is part of the process of how we rationalize our decisions, and justify our behavior. This tendency to be backwards-looking is hard-wired.

As happens so often with accomplished people, they sometimes believe their achievements in one field carries over to another (and the Halo Effect leads us to follow them). Michael Jordan was the greatest basketball player ever, but switched mid-hoops career to be a mediocre minor league baseball player. Nobel Prize-winning physicist William Shockley practically invented Silicon Valley, turning northern California into a technological hotbed of innovation. He was less successful dabbling in the eugenics of